

3-1a Accrual and Cash Bases of Accounting

Under the **accrual basis of accounting** (A basis of accounting under which revenues and expenses are reported on the income statement in the period in which they are earned or incurred.) , revenues are reported on the income statement in the period in which a service has been performed or a product has been delivered. Cash may or may not be received from customers during this period. For example, a cleaning company will record revenue after it cleans an office building, even if it is not paid for several weeks. The accrual basis of accounting also requires expenses to be recorded when they are incurred, not necessarily when cash is paid.

Link to Netflix

Netflix uses the accrual basis of accounting in preparing its financial statements.

Although generally accepted accounting principles (GAAP) require the accrual basis of accounting, most individuals and some businesses use the cash basis of accounting. Under the **cash basis of accounting** (A basis of accounting under which revenues and expenses are reported on the income statement in the period in which cash is received or paid.) , revenues and expenses are reported on the income statement in the period in which cash is received or paid. For example, fees are recorded when cash is received from clients; likewise, wages are recorded when cash is paid to employees. The net income (or net loss) is the difference between the cash receipts (revenues) and the cash payments (expenses).

Small service businesses may use the cash basis because they have few receivables and payables. For example, attorneys, physicians, and real estate agents may use the cash basis. For them, the cash basis provides financial statements similar to those of the accrual basis. For most large businesses, however, the cash basis will not provide accurate financial statements for user needs. For this reason, the accrual basis is required by GAAP and is used in this text.